HEDGEYE DAILY DIGEST

September 4, 2026 · Reader timezone GMT+8

Hedgeye is telling you the market has stopped broadening and started narrowing. After a week in which the "Mother of All Bubbles" kept imploding across Asia and in retail-favourite high-beta baskets, Keith McCullough's book has rotated hard into Healthcare, Software, Energy and Financials, while staying short the rate-sensitive complex (TLT, LQD, ZROZ, XLU). The setup into the Jobs Report is fragile: the UST 10yr at 4.76% is pressing the top of a 4.68–4.84% range with VIX at 15.20 — cheap volatility sitting next to sticky yields. Offsetting that, Tier1 Alpha flags up to $17 billion of vol-control buying coming back online today.

Grouping note: Hedgeye publishes on US Eastern time. "Today" covers the 3 September EDT publishing day (landing 3 Sep evening – 4 Sep morning GMT+8); "Yesterday" covers 2 September EDT.

TODAY'S PUBLICATIONS

EARLY LOOK — "Riding The Waves of Volatility"

Daryl G. Jones, Director of Research · 09/03/26 07:51 AM EDT (03 Sep 19:51 GMT+8)

Jones builds the note around a Jon Kabat-Zinn line — "You can't stop the waves, but you can learn to surf" — and argues that the edge in markets is not predicting volatility but staying disciplined through it. Investors who trade every headline hurt themselves; investors who size risk correctly and stick to a process compound. He calls emotional steadiness through drawdowns **"not a soft skill — it is an edge."**

He uses Hedgeye's newly launched small-cap product as the live illustration. Active Long **MNTN** closed at **$13.15** Monday, fell to **$12.39** Tuesday (**-5.8%**), then rallied back to **$13.13** (**+5.97%**) Wednesday afternoon — a roughly **6% round trip in three sessions** on no fundamental news. Hedgeye's work has **MNTN** and **FIVN** running realised volatility of roughly **4.95x** and **5.35x** the **S&P 500** over the trailing 90 days. That, he argues, is the asset class working as designed — thinner trading, concentrated ownership, light analyst coverage — and it rewards whoever does the homework first.

The macro grind pulls three threads together, and the tension between them is the point. First, **Chicago PMI collapsed to 47.1 in August from 57.6 in July** — a **10-point** swing from solid expansion into outright contraction in a single month. One print is not a trend, but a move that size says manufacturing sentiment may be shifting fast rather than gradually.

Second, **JOLTS job openings jumped to roughly 7.74 million from 6.95 million**, a gain of nearly **790,000** positions. On its own that reads as a strong labour market that argues *against* the soft-landing narrative. Paired with a manufacturing reading that just fell off a cliff, it also looks inconsistent — and messier data tends to make policymakers more cautious, not less.

Third, rates and volatility itself. The **10-year sits at 4.76%**, just under the top end of the risk range at **4.84%.** Meanwhile **VIX fell nearly 7.0% to 15.20** — what Hedgeye calls the "investable bucket," a level saying the market is not worried. **Elevated yields sitting next to a calm volatility index is a fragile pairing**; it does not take much — a soft print or a hawkish comment — to move VIX in a hurry.

Investment implication: manufacturing soft, hiring resilient, rates sticky, volatility quiet. That combination will not sit still forever. The discipline is to read the threads together rather than react to any single headline — and to be watching for the wave before it breaks, not after.

Risk Range™ Signals — 09/03/2026

Asset	Risk Range	TREND
30-Year UST Yield (UST30Y)	5.16–5.31	Bullish
10-Year UST Yield (UST10Y)	4.68–4.84	Bullish
2-Year UST Yield (UST2Y)	4.25–4.45	Bullish
High Yield (HYG)	78.91–79.50	Bullish
IG Corporate Bonds (LQD)	104.9–106.1	Bearish
S&P 500 (SPX)	7602–7744	Bullish
NASDAQ Composite (COMPQ)	25825–26590	Bullish
Russell 2000 (RUT)	2910–3016	Bullish
Health Care (XLV)	170–177	Bullish
Tech-Software (IGV)	101–113	Bullish
Oil Services (OIH)	411.00–441.00	Bullish
Shanghai Composite (SSEC)	3851–4009	Bearish
Nikkei 225 (NIKK)	64004–66190	Bearish
German DAX (DAX)	25711–26601	Bullish
Volatility Index (VIX)	14.01–16.47	Bearish
U.S. Dollar Index (USD)	98.75–99.69	Bearish
EUR/USD	1.156–1.171	Bullish
USD/JPY	156.01–159.11	Bearish
GBP/USD	1.344–1.364	Neutral
CAD/USD	0.718–0.726	Bullish
WTI Crude (WTIC)	86.13–93.94	Bullish
Brent Crude (BRENT)	89–101	Bullish
Natural Gas (NATGAS)	2.81–3.07	Bullish
Gold Spot (GOLD)	4292–4698	Bullish
Copper Spot (COPPER)	6.40–6.71	Bullish
Silver Spot (SILVER)	63–69	Neutral
Microsoft (MSFT)	477–518	Bullish
Apple (AAPL)	312–331	Bullish
Amazon (AMZN)	250–267	Bullish
Meta (META)	547–599	Bearish
Alphabet (GOOGL)	330–348	Bearish
Netflix (NFLX)	80–84	Bullish
Tesla (TSLA)	340–369	Bearish
NVIDIA (NVDA)	209–231	Bullish
SpaceX (SPCX)	132–147	Bullish
Bitcoin (BTC)	76302–80106	Bullish

FROM THE DESK — KM's Top 3 Things (10yr / Sectors / Flows)

Keith McCullough, CEO · 09/03/26 07:20 AM EDT (03 Sep 19:20 GMT+8)

McCullough opens with the setup: the **Dollar went straight back down** from the top of its risk range signalled the prior day, **Gold went straight back up**, and Hedgeye **bought Bitcoin on sale**.

1. The 10-year. Still signalling **Bullish on both TRADE and TREND** durations — which is precisely why Hedgeye remains **short TLT, LQD, ZROZ and XLU**. The market probed the **top of the Risk Range at 4.84%** and backed off, which McCullough notes is exactly what the range is for. Everything now hinges on the **Jobs Report**: a **dovish** print that pulls the 10-year toward the **low end at 4.68%** should send **long Gold, Gold Miners (GDX) and Bitcoin (IBIT)** higher; a **hawkish** print does the opposite.

2. Sectors — narrowing, not broadening. The blunt question: "who needs to be long our former 'broadening' position WHEN the US Equity Market Signal is no longer broadening?" The answer is to narrow into the sectors and factors winning regardless of breadth narratives — **Healthcare and Energy**. **XLV is already up another +1.4% for September to date**; **Metals led the tape with a +3.3% day**, followed by the **Most Short Financials basket at +2.9%**. McCullough was buying more **Software (IGV)** on sale because he had a catalyst: the **SNOW** long, held since **26 May**, was reporting.

3. Flows. He calls this the day that matters most this week. **Tier1 Alpha models roughly $17 billion of SPX buying** as **1-month realised vol has collapsed below 3-month**. The mechanism: the **-2.6% return from 5 June** finally rolls out of the 3-month realised volatility calculation, and in a flat market that could generate as much as **$17bn in net buying requirements** from vol-control strategies — a meaningful source of **non-discretionary demand for equities**.

Immediate-term ranges cited: SPX 7602–7744; **UST 10yr 4.68–4.84%**.

THE MACRO SHOW — Summary Notes, Thursday 3 September

Keith McCullough & Daryl Jones · 09/03/26 10:57 AM EDT (03 Sep 22:57 GMT+8)

Rates. Still short bond proxies, but the range governs execution: cover shorts when yields are near the **top of 4.68–4.84%**, reload near the low end. McCullough flagged **CPI risk after the jobs report**, saying the CPI setup is expected to be **hawkish**.

Gold / GDX / Bitcoin. He bought **10-day gold call options** two days earlier, initially expected them to lose, and they worked sharply as the dollar fell and gold ripped. He said he would likely **sell some gold and possibly sell aggressively — including selling those calls in full** — because the jobs report and coming CPI print create genuine two-sided risk.

Sectors. The market is **narrowing**. Hedgeye had been long the broadening trade and **sold it last week**, taking out **RSP** and later **VOX**. **Health care is now owned "three ways"** after adding biotech into the recent correction. On software, he bought more **IGV** for the family account into the **SNOW** print, having "grossed it up" ahead of the report.

SPY / VIX. A tight S&P range with a **lower high and a higher low** — consolidation "for now," helped by **VIX back in the investable bucket**. **Nine of 11 sectors were up**, but positioning stays concentrated in narrowing leaders rather than broad market beta.

Oil / Energy. Oil is signalling **higher highs and higher lows**, keeping the **inflation nowcast ticking higher** — the major reason bond yields stay well bid. **Natural gas is bullish TRADE and TREND on day two**, though he criticised the construction of most natural gas ETFs.

NVIDIA and mega-caps. NVDA held TRADE, held **bullish TREND**, and went **bullish TRADE intraday**, with heavy call activity including **more than 535,000 of the 225 calls** traded. **META** went bullish TRADE but remains **bearish TREND**; **GOOGL** and **TSLA** likewise need reading through the alpha-code framework rather than chart feel.

Asia and global. No change: **South Korea and China remain bearish TRADE and TREND** and are shorts on bounces. **Japan is "taking stagflation on purpose"** because of currency pressure — another short. **Spain (EWP)** is working with a higher low; **Bitcoin and Turkey (TUR)** were added the prior day; **South Africa (EZA)** is attractive because the exposure is heavily mining and gold and back-to-back **Quad 3s** support hard assets.

Bottom line: stop treating themes as permanent. Short rate-sensitives, take gains in gold around event risk, narrow into healthcare / software / energy / financials, use flows as the timing input, and short broken Asia and mega-cap names on bounces.

ETF PRO PLUS — 6 New ETF Pro Changes

09/03/26 01:11 PM EDT (04 Sep 01:11 GMT+8)

Six real-time changes, all consistent with the narrowing-and-hard-assets posture. **Adding Long: Natural Gas (UNG)** and **Managed Futures (DBMF)**. **Adding Short: Global Airlines (JETS)**. **Removing Long: Dividend Aristocrats (NOBL)** (57.53–59.26) and **Turkey (TUR)**. **Removing Short: META Option Income (FBY)** (7.8–8.67).

Longs are added at the low end of the Risk Range on **bullish TRADE/TREND**; longs are removed when **TRADE and/or TREND breaks**. The **TUR** removal is notable given Turkey was added to the book only a day earlier on the Macro Show — a clean illustration of signal, not narrative, driving the book.

SIGNAL STRENGTH STOCKS — 66 Stocks (0 Added, 3 Removed)

09/03/26 02:09 PM EDT (04 Sep 02:09 GMT+8)

Added: none. Removed: JBS, BJRI, GRUSF. The list has now compressed from **79** → **72** → **69** → **66** names across four sessions — a quantitative confirmation of the narrowing-breadth thesis running through the rest of the day's research.

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

09/03/26 09:20 AM EDT (03 Sep 21:20 GMT+8)

Housekeeping rather than new signal. Model Portfolio changes took effect on **closing prices Wednesday 2 September**. **TREND and TAIL levels for all 68 ETFs** were refreshed using **28 August** closes, on the standard 3–4 week cycle. Ticker substitution: **BNO (Brent)** and **USO (WTI)** are now tracked, while **MBB** and **PFF** were removed from coverage. The **September 2026 Monthly Commentary** was posted 2 September.

MOMENTUM STOCK TRACKER — Mag7 (+0.76%), SNDK = BULLISH

Christian Drake & Ryan Ricci · 09/03/26 08:52 AM EDT (03 Sep 20:52 GMT+8)

Dashboard-only content (charts, no article text). The headline reads **Mag7 +0.76%**, **SNDK flipping to BULLISH**, with **Sectors narrowing** and **Flows in a vol-control wave** — the same two data points McCullough led with on the desk note.

YESTERDAY'S PUBLICATIONS

EARLY LOOK — "Bubbles Imploding vs. TRADE Breaks"

Keith McCullough, CEO · 09/02/26 07:43 AM EDT (02 Sep 19:43 GMT+8)

What: McCullough's flagship note on the difference between a bubble genuinely imploding and a short-term Hedgeye **TRADE break** — and why conflating the two destroys capital.

Why: Framed around Rich Brennan's *The Fractals of Finance* and the line **"compounding is non-linear."** A single large positive pop permanently lifts the base from which returns grow; small losses do not undo compounding, but **drawdowns and crashes do**. Avoiding them, he argues, "isn't conservative — it's the most aggressive thing you can do for your long-term capital."

Who / what broke: South Korea's KOSPI down another **-4% overnight**, now **-28% from its #MOAB highs**. The **Goldman High Beta Momentum** long basket fell **-2.9%** on the day and **-24.0% over three months**, having gone from **+69% YTD in June to -6% YTD**. The **Goldman "High Retail Sentiment"** basket fell **-2.7%** on the day and is **-4.7% YTD** versus **SPY +11.5% YTD** — down from **+22% at its May peak**. McCullough's own books were **-0.57% Long Only** and **-0.24% Long/Short**, leaving him **less than -1% from all-time highs**.

Key numbers and rules: TRADE signals = 3 weeks or less; TREND signals = 3 months or more. A TRADE break means going bearish TRADE inside a still-bullish TREND. The response is to **stop buying the dip** and/or **cut the position to minimum size**. He did exactly that in **Silver (SLV)** when it broke its TRADE level of **$65.11** — selling on red, which he only does on a TRADE or TREND break. **Gold's Alpha Code: 4355 / 4204** (TRADE $4,355, TREND $4,204).

Takeaway: protect the compounding base. The book is out of AI, Semis and levered-ETF exposure and into **Healthcare, Colombia and Gold**, with risk around Gold managed tightly against its TRADE and TREND levels.

THE MACRO SHOW — Summary Notes, Wednesday 2 September

09/02/26 10:26 AM EDT (02 Sep 22:26 GMT+8)

What: The MOAB crash in Asia as the lead call, plus the dollar–gold mechanics and sector rotation.

Why / who: KOSPI down 4% overnight, in **Quad 4 crash mode**, **-28% from peak**. The **Nikkei fell -2.9%** after breaking TRADE and TREND, tied to higher yields and currency pressure. **No Asia positions are held.** Positive divergences were flagged in **New Zealand (ENZL)** and **Colombia (COLO)**.

Key numbers: The **dollar carries a 92% inverse trending correlation to gold** — the catalyst for gold to stop falling is the dollar to stop rising. **USD top of range $99.99**; **gold broke TRADE support at $4,355** (TREND $4,204). **Silver was cut to minimum size** and is "teetering on TREND breakdown." **UST 10yr range 4.67–4.83%**; **VIX 14.43–16.99**. **SPX 7,745** was discussed, about **2.1% below the all-time high of 7,798**, with **four consecutive lower highs**; the S&P broke medium-term TRADE around **7,671**.

CPI nowcast: every **$1 move in oil adds roughly 3bps** to the inflation nowcast. With oil near **$85** and potentially heading to **$90**, that is roughly **+15bps**, taking the nowcast from about **3.50% to 3.65%**. The strategic risk is that the quad path shifts — if inflation stays hot, a **Quad 1** setup can move toward **Quad 2**, the one quad **gold does not like** and where **bond yields rise most**.

Takeaway: rotate, don't hold crowded beta. Long **healthcare, software, energy, financials**; short **bonds, utilities, rate sensitivity**. When TRADE breaks: stop buying, then start selling or shorting.

CAPITAL ALLOCATION PRO — Model Portfolio Changes & Monthly Commentary

09/02/26 02:23 PM & 03:49 PM EDT (03 Sep 02:23 / 03:49 GMT+8)

What: Model Portfolio changes effective on **2 September closing prices**, plus the **September 2026 Monthly Commentary**.

Why: Routine implementation of the rotation described above, alongside the scheduled **TREND/TAIL refresh across 68 ETFs** using **28 August** closes. Commodity coverage was expanded via **BNO (Brent)** and **USO (WTI)**, with **MBB** and **PFF** dropped.

Takeaway: the model portfolios are being brought into line with the narrowing-leadership, hard-asset, short-duration posture.

SIGNAL STRENGTH STOCKS — 69 Stocks (1 Added, 4 Removed)

09/02/26 11:54 AM EDT (02 Sep 23:54 GMT+8)

What: Added: FAF. Removed: U, LLY, PANW, W.

Takeaway: breadth contracting again. **PANW** and **U** dropping out is consistent with the software and high-beta washout, while **LLY** leaving even as healthcare leads at the sector level is a reminder that the **XLV** call is about the sector complex rather than every large-cap name inside it.

MOMENTUM STOCK TRACKER — Mag7 (-0.7%), High Beta Momo (-2.9%), SPX TRADE Break

09/02/26 08:46 AM EDT (02 Sep 20:46 GMT+8)

What: Dashboard content flagging **Mag7 -0.7%**, **High Beta Momentum -2.9%**, **SNDK = NEUTRAL**, the **KOSPI crash to -28%**, and the **SPX TRADE break**.

Takeaway: quantitative confirmation of the Early Look — a TRADE break at the index level coinciding with genuine bubble implosion in the crowded baskets.

BITCOIN TREND TRACKER / CRYPTO QUANT

09/02/26 07:00 AM EDT and 09/03/26 08:12 AM EDT

Note: both editions returned a security-verification page and could not be read in full; the following is summarised from headlines only. On **2 Sep**: **BTC -1.1%**, **MARA = BEARISH**, **AVAX/XRP/BLOK = NEUTRAL**, with items on a **bank joint stablecoin in 1H27** and the **BTC–ES correlation**. On **3 Sep**: **BTC +0.7%** with **AVAX/XRP/BLOK flipping to BULLISH**, plus coverage of **tokenized equity in pro sports** and a **supply and profit overhang**.

Takeaway: the flip from NEUTRAL to BULLISH across the alt complex lines up with McCullough buying Bitcoin on sale as the dollar rolled over.